

Consensus protocol. The mechanism whereby parties agree to add a new block to the existing *blockchain*. Both *Ethereum* and *Bitcoin* use *proof of work*, but many other mechanisms exist, such as *proof of stake*.

Contract account. A type of account in *Ethereum* controlled by a *smart contract*.

Credit delegation. A feature whereby users can allocate collateral to potential borrowers who can use the collateral to borrow the desired asset.

Cryptocurrency. A digital token that is cryptographically secured and transferred using blockchain technology. Leading examples are *Bitcoin* and *Ethereum*. Many different types of cryptocurrencies exist, such as *stablecoin* and tokens that represent digital and non-digital assets.

Cryptographic hash. A one-way function that uniquely represents the input data. Can be thought of as a unique digital fingerprint. The output is a fixed size even though the input can be arbitrarily large. Not encryption because it does not allow recovery of the original message. A popular hashing algorithm is the SHA-256, which returns 256 bits or 64 *hexadecimal* characters. The *Bitcoin blockchain* uses the SHA-256. *Ethereum* uses the Keccak-256. Also known as a *hash* or *message digest*.

dApp. A decentralized application that allows direct interactions between peers (i.e., removing the central clearing). Permissionless and censorship resistant, anyone can use them, and no central organization controls them.